

**TAB 26**



# Los Angeles Unified School District

**756**

333 South Beaudry Ave,  
Los Angeles, CA 90017

## Board of Education Report

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### **Special Report**

Receipt of The Results of the August 2023 Cops Sale and Comparison of Good Faith Costs of Issuance  
Estimates and Actuals (006-23/24)

**INTEROFFICE CORRESPONDENCE**  
**Los Angeles Unified School District**  
**Office of the Superintendent**

**INFORMATIVE****TO:** Members, Board of Education**DATE:** December 19, 2023**FROM:** Alberto M. Carvalho, Superintendent 

**SUBJECT: RESULTS OF THE AUGUST 2023 CERTIFICATES OF PARTICIPATION (COPs) SALE AND COMPARISON OF GOOD FAITH COSTS OF ISSUANCE ESTIMATES AND ACTUALS**

In August 2023, Moody's Investor Services and Fitch Ratings affirmed the District's general obligation bond ratings at Aa3 (Positive) and Aaa (Stable) and assigned ratings to the District's 2023 Series A Certificates of Participation ("the COPs") of A2 and A-, respectively. The District then successfully sold \$384.26 million of new money COPs on August 17, 2023, generating \$423.5 million of proceeds to fund high-priority capital projects. The sale was also the District's second issuance of Sustainability Bonds. Per the International Capital Market Association ("ICMA"), Sustainability Bonds are bonds (including COPs) where the proceeds will be applied to finance or refinance a combination of both "Green" and "Social" projects. The COPs were evaluated by an independent firm, Kestrel Verifiers, which provided a second-party opinion that reflected the COPs' conformance with the Sustainability Bond Guidelines under ICMA.

The District achieved excellent results on the day of pricing with investor demand far exceeding the \$384.26 million of District COPs available for sale. The District received over \$1.7 billion in orders from more than 40 investors. As a result of the strong market reception, the interest rates on the COPs were reduced over the course of the sale with the COPs sold at a true interest cost of 3.59 percent over 15 years. Though interest rates rose from the date of the original Good Faith costs of issuance estimates, long-term borrowing costs remain affordable in a historical context. The transaction closed on August 31, 2023.

Exhibit A compares the good faith costs of issuance estimates versus the actual costs of issuance.

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**EXHIBIT A**  
**COMPARISON OF GOOD FAITH ESTIMATES & ACTUALS FOR THE COPs**

The Good Faith Estimates of Costs of Issuance were as of April 27, 2023, prior to Board approval on June 13, 2023.

1. **True Interest Cost (“TIC”) of the COPs:** The rate necessary to discount the amounts payable on the respective principal and interest payment dates to the purchase price received for the COPs.

| Good Faith Estimate | Actuals | Difference |
|---------------------|---------|------------|
| 3.03%               | 3.59%   | 0.56%      |

The primary reason that the TIC of the COPs was higher than estimated in April 2023, is because interest rates rose significantly over this time. Between April 27, 2023, and the pricing date of the COPs, the Federal Reserve Board increased interest rates two times by a total of 50 basis points, and tax-exempt interest rates, as measured by the 10-year MMD index, rose by 49 basis points.

2. **Finance Charge of the COPs:** The sum of all fees and charges paid to third parties (or costs associated with the COPs). The actual costs of issuance were \$67,580.05 more than the good faith estimates.

| Category                     | Good Faith Estimates  | Actuals               | Difference         |
|------------------------------|-----------------------|-----------------------|--------------------|
| Underwriter’s Discount       | \$1,008,858.50        | \$1,055,822.37        | \$46,963.87        |
| Bond Counsel                 | 110,000.00            | 108,000.00            | (2,000.00)         |
| Disclosure Counsel           | 130,000.00            | 130,000.00            | 0.00               |
| Municipal Advisor            | 90,000.00             | 90,000.00             | 0.00               |
| Rating Fees                  | 217,000.00            | 168,500.00            | (48,500.00)        |
| Title Insurance              | 263,445.00            | 286,940.00            | 23,495.00          |
| Surveyors                    | 0.00                  | 18,745.48             | 18,745.48          |
| Sustainability Bond Verifier | 0.00                  | 22,000.00             | 22,000.00          |
| Other/Miscellaneous          | 61,729.30             | 68,605.00             | 6,875.70           |
| <b>Total</b>                 | <b>\$1,881,032.80</b> | <b>\$1,948,612.85</b> | <b>\$67,580.05</b> |

The primary reasons that the actual costs of issuance were higher than the Good Faith Estimates by about \$67,580 (3.6%) are because i) the transaction size and proceeds received were 9.4% and 5.9%, respectively, larger than estimated (see 3 below) and some costs of issuance are based on the size of the transaction; ii) the District was able to get the COPs independently certified as Sustainability Bonds which incurred a fee; and iii) the District incurred unexpected surveyor costs related to pledging its properties.

3. **Amount of Proceeds Received:** The amount of proceeds received by the District for the sale of the COPs less the finance charge of the COPs described in 2 above and any reserves or capitalized interest paid or funded with the proceeds of the COPs.

| Good Faith Estimate | Actuals          | Difference      |
|---------------------|------------------|-----------------|
| \$400,000,000.00    | \$423,542,885.00 | \$23,542,885.00 |

4. **Total Payment Amount:** The total of all payments the District will make to pay debt service on the COPs plus the finance charge of the COPs described in 2 above not paid with the proceeds of the COPs, calculated to the final maturity of the COPs. The total payment amount is 11.8% higher due in part to increased interest rates caused by market conditions and the larger amount of project proceeds generated than originally estimated, which result in additional debt service. The good faith estimate was for the first fiscal year debt service to be \$10.3 million, and \$34.9 million annually through fiscal year 2038. The actual debt service is \$11.3 million the first year and \$36.4 million through fiscal year 2039.

| <b>Good Faith Estimate</b> | <b>Actuals</b>   | <b>Difference</b> |
|----------------------------|------------------|-------------------|
| \$498,650,869.44           | \$557,388,702.78 | \$58,737,833.34   |